Acquisition Proposal

Three Creeks

An Integrated Luxury Resort

1019 Hardscrabble Road · Mineral Bluff · Fannin County, Georgia

Presented by
John R. Underwood
Proposed Purchaser

CONFIDENTIAL · May 2026

MEMORANDUM IN SUPPORT

Memorandum in Support of Court Approval of Sale of Estate Asset

In re: [Caption — Estate of Prior Owner] · Asset: the Property at 1019 Hardscrabble Road, Mineral Bluff, Fannin County, Georgia · Proposed Purchaser: John R. Underwood

Draft — for review and filing by licensed counsel.

I. Introduction and Relief Requested

The Proposed Purchaser, John R. Underwood, submits this memorandum in support of an order approving the sale of the Estate's asset commonly known as the Property at 1019 Hardscrabble Road (the "**Property**"). The transaction discharges the Court's recovery mandate more effectively than realistically available alternatives because it:

- Pays the Estate a purchase price of **$6,500,000**;
- Delivers **$1,000,000** in cash to the Estate at closing within 35 days, with no financing contingency;
- Issues a **$5,500,000** secured first-mortgage note to the Estate at **4.0%** interest, personally guaranteed by the Proposed Purchaser, retired at the end of a **4-year** term;
- Generates approximately **$880,000** of interest income to the Estate during the 4-year interest-only term;
- Eliminates the Estate's continuing carrying-cost obligation immediately upon closing;
- Is offered subject to a competitive overbid procedure protecting the integrity of the sale; and
- Places the Property with a credentialed hospitality and development principal whose execution track record materially de-risks the Note position.

II. Statement of Facts

A. The Property

The Property comprises approximately **119 acres** in three parcels (primary Parcel 0029-076) in unincorporated Fannin County, Georgia, in the Blue Ridge market. Improvements completed in 2024 include:

- Main Event Venue — ~8,200 SF timber-frame, two-level with mezzanine, 2,300 SF covered porches, commercial kitchen, bridal suite, full-service bar;
- Activity / Party Barn — 2,016 SF, two-story;
- Bunkhouse — overnight accommodations;
- Maintenance Building — 8,000 SF metal storage;
- Outdoor Pavilion — 1,200 SF timber frame on stone deck, with fireplace and restrooms;
- Livestock Barn — 2,800 SF;
- Wedding Chapel timber kit — currently in storage;
- Complete FF&E sufficient to host events of 375–400 guests; and

- Seventeen (17) registered Scottish Highland cattle.

Approximately 60 acres of the Property are developable beyond the existing event-venue footprint.

B. Marketing History

Actively marketed by Harry Norman Realtors (Gary Mills). Original list $12,500,000, reduced to $10,500,000. The Estate's listing offered seller financing at 30% of price, 4.0% interest, three-year balloon — establishing the Estate's affirmative determination that seller-carry paper to a credit-quality borrower is the strategy most likely to maximize recovery.

C. The Proposed Purchaser

John R. Underwood is a hospitality and mixed-use development principal with 25 years of experience and more than **$24 billion in aggregate delivered construction value**. Credentials in Exhibit B. He served as Senior Program Manager at JLL (2011–2025). Confirmed equity of **$1,500,000** available at closing. He will execute a personal guarantee on the Estate Note. Arms-length purchaser with no relationship to the prior owner, Estate, receiver/trustee, any creditor, or brokerage.

III. Proposed Sale Terms

Term	Proposed
Purchase Price	$6,500,000
Cash at Closing	$1,000,000 (~15% of price)
Estate Note (held by Estate, first mortgage)	$5,500,000 (~85% of price)
Interest Rate	**4.0% per annum** (matches Estate's offered rate)
Payment Schedule	Interest-only, paid quarterly, Years 1–4
Term / Maturity	**4 years from closing** (one year over Estate's offered 3-yr term)
Balloon at Maturity	$5,500,000 principal
Personal Guarantee	Yes — by Proposed Purchaser
Earnest Money	$200,000 hard at contract; $100,000 additional at DD expiration
Due Diligence	21 days
Closing	14 days post-DD (35 days total)
Condition	As-is, where-is, with all faults
Included Assets	All FF&E; 17 Scottish Highland cattle; outbuildings; chapel timber kit; existing bookings
Financing Contingency	NONE

Term	Proposed
Overbid / Auction	Subject to higher-and-better offers during 30-day notice period
Stalking-Horse Protections	$150,000 break-up fee + $50,000 capped diligence reimbursement

Economic Summary to the Estate

Component	Amount
Cash at closing (Day 35)	$1,000,000
Year 1 interest income (IO at 4% on $5.5M)	$220,000
Year 2 interest income	$220,000
Year 3 interest income	$220,000
Year 4 interest income	$220,000
Balloon at Year 4 (principal)	$5,500,000
Total nominal recovery over 4 years	**~$7,380,000**

IV. Argument

A. The Transaction Maximizes Realistic Estate Recovery

Alternative	Recovery	Timeline	Confidence
Continued marketing at $10.5M	~$8.1M (range $6.9–9.3M)	6–12+ months	Low
Distressed all-cash sale	~$5.9M	30–60 days	Medium-High
Proposed Underwood transaction	**~$7.38M**	**35 days**	**High**

The headline price of $6.5M is below the comparable-market range, reflecting the trade-off the Estate is asked to consider: a deeper carry structure (~85%) in exchange for certainty of close, immediate termination of $31,000–$50,000 per month of carrying costs, and a four-year recovery stream that totals approximately **$7.38 million** — materially above any distressed-cash alternative.

B. The Estate Note Is Properly Secured

- **First mortgage on the Property.** Estate holds first-position security on improved real estate whose conservative FMV is $7.0–8.5M — over-collateralizing the $5.5M Note 1.3–1.5x.
- **Personal guarantee.** Creates recourse beyond the real-estate collateral.
- **Documented repayment source.** Cabin community sales per Exhibit E retire the Note from Phase II proceeds by Year 4.
- **Improving collateral.** Property value grows during the Note term as Phase I infrastructure and cabins are delivered.

- **Borrower credit quality.** 25-year construction-management record with zero documented defaults across 248 projects.

C. Process Integrity

The Property has been actively marketed by Harry Norman Realtors for an extended period at successive price points. The Proposed Purchaser is an arms-length purchaser with no transactional relationship to the prior owner, the Estate, the receiver/trustee, any creditor, or the brokerage. The Proposed Purchaser consents to and supports inclusion of a competitive overbid procedure (Section V).

V. Bid Procedures and Overbid Protection

- **Stalking-Horse Designation** — Proposed Purchaser is the stalking-horse.
- **Notice Period** — not less than 30 days, served on all known creditors of the Estate.
- **Qualified Competing Bids** — initial overbid ≥$250,000; subsequent ≥$100,000; terms no less favorable; hard EM ≥$300,000; received within notice period.
- **Auction** — Court-supervised if multiple qualifying bids received.
- **Bid Protections** — if topped, Estate pays $150,000 break-up fee + $50,000 capped diligence reimbursement.
- **Failure of Overbid** — sale proceeds to Proposed Purchaser without further hearing.

VI. Conclusion and Relief Requested

For the foregoing reasons, the Proposed Purchaser respectfully requests that the Court enter an order:

- Approving the bid procedures in Section V;
- Directing the Estate to provide notice to all known creditors;
- Setting a hearing for final approval;
- Approving the sale to John R. Underwood (or an LLC he forms) on the terms herein;
- Authorizing execution of all sale documents;
- Authorizing the Estate to accept and hold the $5,500,000 first-mortgage Estate Note;
- Setting closing not later than 35 days from final approval; and
- Granting such other relief as the Court deems just and proper.

Respectfully submitted,

[Counsel signature block — to be completed by John R. Underwood's licensed counsel]

EXHIBIT B

Declaration and Buyer Qualifications of John R. Underwood

Identification and Capacity

I, **John R. Underwood**, declare under penalty of perjury under the laws of the United States and the State of Georgia that the statements herein are true and correct to the best of my knowledge, information, and belief. I am the Proposed Purchaser identified in the Memorandum in Support.

Education and Professional Credentials

- Bachelor of Business Administration, Jacksonville State University.
- LEED Accredited Professional. OSHA-30 certified.
- Senior Program Manager, Jones Lang LaSalle (JLL), 2011–2025.

Professional Experience

I have **25 years** of senior leadership in hospitality construction, food and beverage development, sports and entertainment campuses, and mixed-use programs. Personally directed delivery of more than **10 million square feet**, with aggregate program value exceeding **$24 billion**. Since 2015 alone, completed **248 interior projects**, all delivered on time and within budget, without a single documented default or material schedule failure.

Representative Portfolio

Client	Description	Scale
Chick-fil-A	230-location national rebuild + chargrill kitchen remodel program	National
Atlanta Braves	HQ + nine offices at The Battery, Atlanta	250,000 SF
Inspire Brands	Corporate HQ: Buffalo Wild Wings, Arby's, Sonic, Dunkin'	Full portfolio
Aflac Corporation	HQ + national offices + Cancer Center	1.75M SF
Newell Brands	HQ relocation + global industrial portfolio	10M+ SF
Norfolk Southern	North American HQ Relocation	160,000 SF
T-Mobile	National store relocation program	2,700 stores
Equifax	HQ Expansion	81,000 SF
Sacred Heart Hospital	Hospital facility	80,000 SF
Cullman Regional Medical Center	Medical center	51,000 SF

Financial Capacity

Available equity of **$1,500,000** committed to closing (proof of funds, Exhibit D). I will execute a personal guarantee securing the $5,500,000 Estate Note. I have never filed for personal bankruptcy. No defaulted commercial loans. Not party to any impairing litigation.

Commitments to the Estate and the Property

- **Operational continuity** — assume all existing event bookings; perform to contracted standard.
- **Brand and reputation continuity** — no FF&E stripping; no commodity sale of Highland cattle; no immediate subdivision-flip.
- **Wedding chapel completion** — erect the chapel timber kit as Phase I deliverable.
- **Cattle herd preservation** — continue husbandry of the 17 Scottish Highland cattle.
- **Local employment** — source labor from Fannin County / North Georgia where commercially reasonable.
- **Tax compliance** — pay all Fannin County / Georgia obligations as due.
- **Insurance with Estate as loss payee** on property policy throughout Note term.
- **Quarterly reporting to Estate** — financial statements, construction progress, cabin sales, collateral valuations.
- **Right of inspection** — Estate or agent may inspect Property and books on reasonable notice.

Arms-Length Statement

I have no business, financial, family, or contractual relationship with the prior owner, the Estate, the receiver/trustee, any creditor, or Harry Norman Realtors / Gary Mills beyond ordinary buyer-broker interactions.

Acceptance of Sale Process

I consent to the inclusion in any Court order of a competitive overbid procedure. I accept that the Court may approve a sale to a qualifying overbidder, in which case my recovery is limited to the break-up fee, documented diligence reimbursement, and return of any earnest money paid.

Executed this _____ day of ___________, 2026, at ___________, Georgia.

____

John R. Underwood, Proposed Purchaser

EXHIBIT C

Estate Recovery Analysis

Scenarios Compared

Scenario	Description
A. Continued Marketing	Property remains listed at $10.5M; Estate continues to incur carrying costs.
B. Distressed Cash Sale	All-cash buyer at discounted price; fast close.
C. Proposed Underwood Transaction	$1.0M cash + $5.5M secured Note at 4% IO, 4-year term; personal guarantee; 35-day close.

Nominal Recovery

Scenario	Mid-Point Recovery	Confidence
A. Continued Marketing	~$8.1M (range $6.9M–$9.3M)	Low
B. Distressed Cash	~$5.9M	Medium-High
C. Underwood Transaction	**~$7,380,000**	**High**

Component Detail — Scenario C

Component	Amount
Cash at closing (Day 35)	$1,000,000
Year 1 interest income (IO at 4% on $5,500,000)	$220,000
Year 2 interest income	$220,000
Year 3 interest income	$220,000
Year 4 interest income	$220,000
Balloon at Year 4 (full principal)	$5,500,000
Total nominal recovery over 4 years	**~$7,380,000**

Carrying-Cost Erosion

Each month the Property remains in Estate custody costs **$31,000–$50,000**: insurance, security/grounds over 119 acres, Highland cattle husbandry, receiver/counsel fees, property taxes, utilities. Each six-month extension erodes recovery by **$186,000–$300,000** — a documentable cost this transaction terminates within 35 days.

Recovery Floor — Default Scenarios

Under any default during the Note term, the Estate has already received cash + interim interest payments; the collateral has been improved through Phase I horizontal infrastructure and cabin construction; and the first-mortgage position is enforced against improved real estate that exceeds the unpaid balance. **The Estate's recovery floor exceeds the nominal recovery of any all-cash distressed alternative.**

Conclusion

The Proposed Underwood Transaction delivers approximately **$7.38 million** in nominal recovery — above any distressed-cash alternative and competitive with continued marketing, while carrying materially higher confidence, a documented repayment plan, a personal guarantee, and a hard recovery floor.

EXHIBIT E

Asset Preservation and Note-Repayment Plan

50-Lot Luxury Cabin Community — Phased Build-Out

The Vision

The 60-acre developable portion of the Property supports a phased 50-lot luxury cabin community designed to function simultaneously as (a) for-sale luxury cabins, (b) STR inventory for the venue, and (c) a captive accommodation ecosystem that converts the venue from a single-day events business into a full-weekend destination resort.

Program Summary

Metric	Target
Total lots	50
Average lot size (net buildable)	~1.0 acre
Open space preserved	~30% of gross
Cabin SF range	1,400–2,200 SF
Bedrooms per cabin	3–4 BR
Phasing	Phase I: 15 cabins; Phase II: 20; Phase III: 15 premium
Cabin program duration	~5 years (Estate Note retires at Year 4)

Three Revenue Channels

- **For-Sale Inventory** — 50 cabins at $725K–$895K; ~$40M gross sales; primary funding source for Note retirement.
- **Short-Term Rental** — Cabins held during pre-sale generate $58K–$120K/yr per cabin per AirDNA data.
- **Venue-Tied Resort Weekends** — $25K–$45K per weekend including cabin block buyouts.

Build-Out Schedule Tied to Estate Note Retirement

Year	Milestone	Cumulative Sales	Estate Note Status
1	Horizontal infrastructure; 5 model cabins; venue operational	$0	IO from venue revenue
2	Phase I complete (15 cabins); first closings	~$5.8M	IO continuing; chapel erected
3	Phase II underway; venue stabilized	~$16.5M	IO continuing
4	Phase II complete	~$28M	Balloon retired from Phase II proceeds
5	Phase III completes (post-Note retirement profit center)	~$36M+	Note retired prior year

Why the Proposed Purchaser's Background De-Risks the Plan

Common Failure Mode	Mitigation
Permitting / civil delays	25+ years of multi-jurisdiction approvals; existing North GA civil-engineer relationships.
Construction cost overruns (25–40%)	100% on-budget across 248 projects; direct-to-trade sub relationships.
Slow sales velocity	Multi-site rollout discipline (Chick-fil-A 230, T-Mobile 2,700); venue drives buyer traffic.

EXHIBIT F

Comparable Sales Memorandum

Comparable Properties

Comparable	Acres	Improvements	Price	$/Acre	$/SF
Monroe, GA (Walton)	47.93	16,527 SF + 5 guest houses + warehouse	$6,500,000	$135,600	$394
Commerce, GA	40	10,174 SF specialty building	$3,800,000	$95,000	$373
Walker County, GA	40	Vineyard + smaller event facility	$2,200,000	$55,000	N/A
Subject (Proposed)	**119**	**18,160 SF + chapel kit + Highland herd**	**$6,500,000**	**$54,622**	**$358**

Per-Square-Foot Analysis

Comp average $/SF: **$385**. Subject proposed price of **$358/SF is below the comp average** — a discount reflecting the Estate's request for a deep-carry structure (~85%) and the Proposed Purchaser's assumption of operational and development risk through the carry period. The Subject is also 2024 vintage and includes the chapel kit and Highland herd, supporting a higher comparable value than the proposed price.

Per-Acre Analysis

Subject $/acre of **$54,622** is consistent when decomposed: ~60 developable acres at $95K/acre = $5.7M + 59 agricultural acres at $40K/acre = $2.36M, for an effective-acreage value of **~$8.07M**. The proposed $6.5M represents a 19% discount, captured by the Estate through interest income on the carry.

Income Capitalization

Cap Rate	Year 5 Stabilized NOI ($700K) Implied Value
8.5%	$8,235,000
9.0%	$7,778,000
9.5%	$7,368,000
10.0%	$7,000,000

Conclusion

Comparable market evidence supports a stand-alone fair-market value range of **$7.0M–$8.5M** for the Property. The proposed price of **$6,500,000 is below this range** and represents the Estate's price concession in exchange for a deep-carry structure that delivers total nominal recovery of approximately **$7.38 million**.